

Week ending 27th November 2020

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The **91-day** was over-subscribed recording **114%** while the **182-day and 364-day** T-bills were undersubscribed recording **64% and 45%** respectively**.** The CBK accepted KES **3.6B**, **5.9B** and **4.9B** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer.

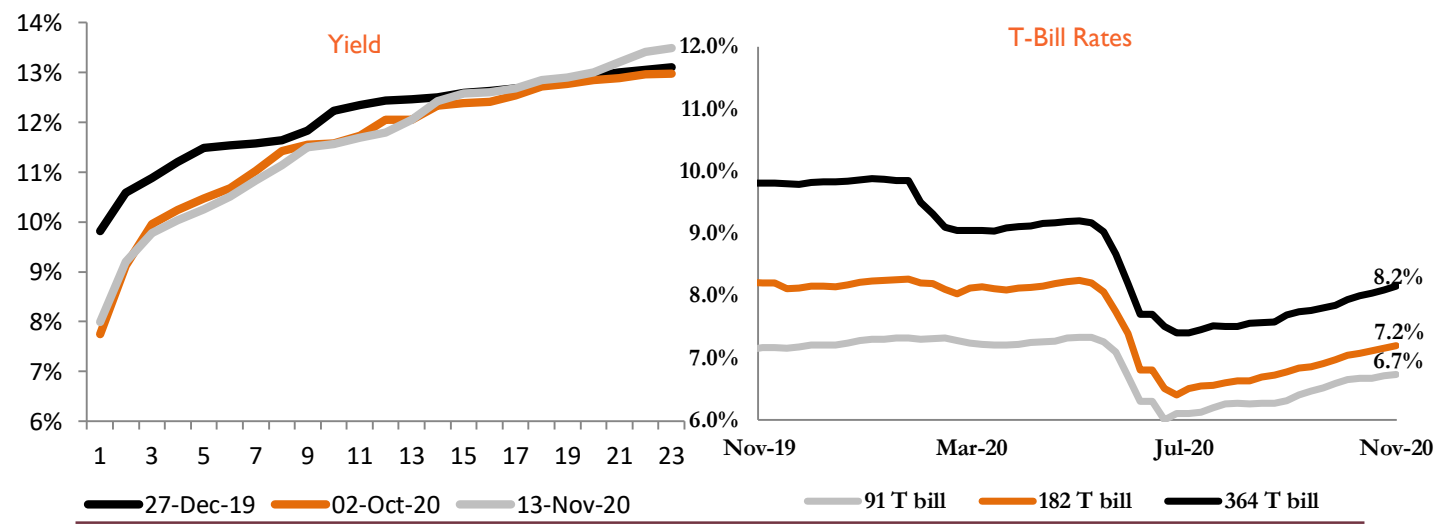
In November, Central Bank of Kenya re-opened two fixed bonds **FXD2/2013/15-(7.52 years)** and **FXD1/2018/20-(17.4 years)** in a bid to raise **40 Billion**. The bonds recorded a performance rate of **68%** and **72%** respectively. The CBK received total bids at cost **KES 55.98B**. The CBK accepted **KES 26.2B** and **27.5B** for the **FXD2/2013/15** and **FXD1/2018/20** T-Bonds respectively.

Key Indicators

	Current	Previous	% Change
91- Day	6.73%	6.71%	0.30%
182-Day	7.19%	7.15%	0.56%
364-Day	8.15%	8.09%	0.74%
Interbank Rate	3.67%	3.23%	13.62%

Macroeconomic data	Current	Previous
GDP (2Q20 vs. 2Q19)	-5.7%	5.6%
Inflation (October)	4.84%	4.20%
Private sector credit growth (August)	8.30%	7.6%
Money Supply (August)	11.01%	11.29%

Interest Rates



MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the USD this past week depreciating by **0.55%** to stand at **110.05**.The CBK's usable forex reserves currently stands at **USD 7,951million** (**4.88** months of import cover) as at November 26th a **0.29%** increase from **USD7,928million**(**4.87** months of import cover) as at November 19th. This meets the CBK's statutory requirement to endeavour to maintain at least 4 months of import cover.

Inflation

Inflation rose to **4.84%** in October. The CPI increased by **0.95** from **108.57** in September to **109.60** in October. This increase occurred on the back of a rise in the housing, water, electricity, gas & other fuels and transport indices which increased by **0.94%** and **0.62%** respectively**.**

GDP growth

Growth receded to **-5.7%** in 2Q20 from **5.6%** in the corresponding period of 2019. While the agricultural sector grew slightly by **0.3%** to **6.4%** year-on-year, other sectors have had negative growth including manufacturing, education and accommodation that slowed down to **-3.9%, -56.2%** and **-83.3%** respectively as a result of the crisis caused by the pandemic. For more information click here.

CONTACTS:

Research Desk
Sarah Wanga
Head of Research

Linda Kiraithe
Research Analyst

Email: research@aib-axysafrica.com

Equities Dealing
Bernard Kung'u

Benard Gichuru

Brian Tanui

Samuel Githinji

Sheema Shah

Samuel Wachira

Email: trading@aib-axysafrica.com

Bond Dealing
Crispus Otieno

Titus Marenye

Email:
trading@aib-axysafrica.com

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